Ind AS 16 — Numericals

Components, revaluation with depreciation, decommissioning, exchanges. ₹ lakh.

1 Component depreciation

Aircraft component	Cost	Life	Annual depreciation
Body	350	20 yrs	17.5
Engines	100	5 yrs	20.0
Interiors	50	10 yrs	5.0
Total	**500**		**42.5**

Engine replaced in year 5 → capitalise new engine; derecognise old engine's carrying amount (nil if fully depreciated). Major inspection every 3 yrs costing 30 → separate component, depreciated over 3 yrs.

2 Revaluation of a depreciable asset

Building cost 1,000, life 10 yrs, SLM. After 2 years CA = 800; revalued to **960**.

Item	Elimination method	Proportionate restatement
Gross carrying amount	960	1,200 (1,000 × 960/800)
Accumulated depreciation	Nil	240
Net carrying amount	960	960
Revaluation surplus (OCI)	**160** (less DTL 40 at 25% → net 120 in OCI)	

→ New depreciation = 960 ÷ 8 = **120** (vs 100 on cost) → may transfer **20 / year** from surplus to **retained earnings** (net of tax IS if DT considered) — not through P&L

→ Later revalued down to 600 at a date when surplus balance is 140 → OCI (140), P&L for the rest

③ Decommissioning

Oil rig cost 1,000; dismantling in 10 yrs estimated 200; discount rate 8%.

Working	₹ lakh
PV of dismantling 200 ÷ 1.08^{10} → provision & added to cost	92.64
Total cost	1,092.64
Year 1 depreciation ÷ 10	109.26
Year 1 unwinding → **finance cost**	7.41

Estimate revised in Year 2 (cost model) → change in PV added to / deducted from asset; decrease beyond carrying amount → P&L; new depreciable amount over remaining life.

④ Exchange & deferred payment

- Give machine (CA 300, FV 350) + cash 50 for a new machine (commercial substance) → cost **400**; gain **50** on old machine → P&L
- No commercial substance → cost = CA given up 300 + cash 50 = **350**; no gain
- Price 1,000 payable after 1 year vs cash price 900 → cost **900**; 100 = interest (unless Ind AS 23 capitalises)

PPE numericals check-list: **components → cost items in / out → depreciation start → revaluation (OCI / P&L sequence) → surplus transfer → decommissioning unwind → derecognition gain.**

⑤ Ind AS 12 — full DT schedule (tax 25%)

Item	CA	Tax base	TD	DTL	DTA
PPE	800	600	200 taxable	50	
Gratuity provision (43B)	100	0	100 deductible		25
ROU asset	300	0	300 taxable	75	
Lease liability	320	0	320 deductible		80
Unused losses 200 — only 120 probable			120		30
FVOCI equity (cost 100)	150	100	50 taxable	12.5 (OCI)	
Total				**137.5**	**135**

→ Net **DTL 2.5** in BS (offset only if same authority + legal right — para 74)

→ Opening net DTL 10 (all P&L items). Closing P&L-items net **DTA 10** (135 − 125) → **deferred tax credit 20 in P&L**; DTL 12.5 → **OCI**

→ Lease: DTA & DTL both recognised (2023 amendment) even though initial recognition affected no profit

⑥ Tax expense reconciliation (para 81(c))

Item	₹ lakh
Profit before tax 1,000 × 25%	250
+ Non-deductible penalty 20 × 25%	5
− Exempt income 40 × 25%	(10)
Tax expense (current + deferred)	**245** · ETR **24.5%**

⑦ Twisted Ind AS 12 cases

Case	Answer
Rate enacted after RD but before approval	Use old rate; disclose (non-adjusting)
Company will opt for IISBAA from FY 2027-28	TDs reversing from FY 27-28 → **new rate**; rest old; change → P&L / OCI per item
Losses for 3 years, budget shows profits	Budget alone insufficient → need convincing evidence (taxable TDs reversing, firm orders)
Goodwill not deductible	No DTL on initial recognition; later impairment → no DT
Goodwill deductible for tax, amortised in tax	Later TDs (CA > TB as tax amortises) → **DTL recognised** (not initial recognition)
Sub's undistributed profits; parent controls dividends & won't distribute	No DTL (para 39)
Intra-group inventory profit eliminated	DTA at **buyer's** rate

✍ **Write in exam**

"Deferred tax is measured at the tax rates expected to apply when the asset is realised or the liability settled, based on rates enacted or substantively enacted by the end of the reporting period (para 47), and reflects the manner in which the entity expects to recover or settle the carrying amount (para 51)."